Family Transfers and the Racial Wealth Gap

Sara Canilang

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Extended abstract. This note reports the measurement and the estimated transfer functions. The counterfactual decomposition is still being calibrated, and I report its direction rather than its magnitudes. A draft of the full paper is available on request.

1 Introduction

Middle- and upper-income Black households are more likely than white households to have extended relatives living in poverty, creating what sociologists call the "Black Tax," an unwritten obligation to support family members that can be a persistent drain on asset accumulation. The idea has an established empirical literature. O'Brien finds that middle and upper-income Black families are more likely to provide support and that the amounts can account for racial differences in relative wealth holdings. Chiteji and Hamilton, and Toney and Hamilton, find that households of color are more likely both to give and to receive informal financial support. Francis and Weller document that Black households provide to a broader range of relatives across generations and are less likely to be repaid.

Two things are missing from this literature. First, most of it measures transfers *given* and sets aside transfers *received*. That is half of a household's family balance sheet, and the half that is omitted turns out to be the larger one. A household that gives $1,000 a year and receives $3,000 is not under a net drain, whatever the giving rate alone suggests. Second, none of it can say *when* in the life cycle the asymmetry does its work. A transfer received at 25 and a transfer received at 55 enter a balance sheet on entirely different terms, since the first has thirty years to compound and arrives when a household is most likely to be borrowing constrained. Cross-sectional comparisons average over that distinction.

This paper measures both sides of the family balance sheet across the life cycle, and separates two institutionally distinct transfers: a large one that arrives once at the start of adult life in the form of parental help with college, and the recurring support that flows between related households thereafter. Three results come out of the measurement. The racial asymmetry is in timing and in amount rather than in participation. The two transfer channels are linked, in that help with college predicts recurring receipt decades later. And the estimated transfer functions show that a college degree raises the *obligation* to give for Black households and the *capacity* to receive for white households, which is the Black Tax expressed as an estimated behavioral relationship rather than a stylized fact.

2 Data

I use the Panel Study of Income Dynamics (PSID) together with its 2013 Family Rosters and Transfers supplement (RT13). The estimation sample covers survey years 1985 through 2023, annual through 1997 and biennial thereafter, restricted to household heads aged 18 to 85 who are married or single. All dollar amounts are deflated to 2010 dollars with the CPI-U.

Two transfer concepts are measured separately, and the distinction matters for what each one can be used to answer.

Recurring intervivos transfers are financial support given to or received from relatives *outside* the

household's own family unit, net of alimony and child support. These come from the PSID main survey and are observed in every wave, which is what makes an age profile possible. The estimation samples are roughly 74,000 white and 6,500 Black person-years for the participation decision, and 5,100 white and 400 Black person-years for amounts given, 6,100 and 700 for amounts received.

Parental education transfers are the RT13 measure of help with tuition, room and board, and books since age 18. This transfer is intra-household while the student is enrolled, since an enrolled 18 to 21 year old is typically still in the parent's family unit. It therefore cannot be recovered from the head-level transfer variables at all, and the supplement is required to see it. The education sample is 4,079 adult children with a two-year or four-year degree.

I also link the supplement's adult children to their own later records as household heads, which yields 9,612 person-years in which both a childhood education transfer and adult recurring transfers are observed for the same person. That linkage is what allows the two channels to be connected empirically rather than by assumption.

Transfer amounts are reported throughout as medians. The conditional means are driven by a thin upper tail, severely enough that the mean amount given by white heads aged 26 to 35 is $12,081 against a median of $962.

3 Four facts

1. Black households give earlier; white households give later and larger. Black heads are the more likely givers from age 18 through 45, by a factor of 1.4 to 1.8, and the ratio peaks in the twenties and early thirties. White giving incidence is flat until the mid-forties and then roughly doubles, overtaking at 46–59 (Figure 1). Black households provide support when their own earnings and savings are lowest, and white households provide later, from a stronger position. The dollar amounts run the other way from age 26 onward, so the Black pattern is more frequent and smaller support while the white pattern is less frequent and larger.

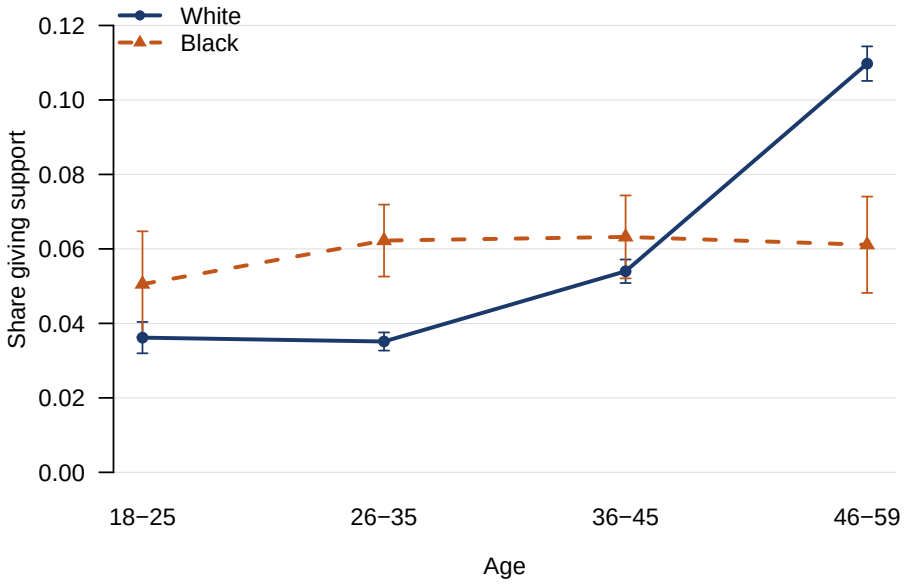


Figure 1: Share of household heads providing financial support to relatives outside the family unit, by race and age. PSID, 1985–2023. Bars are 95 percent confidence intervals.

2. Receipt participation is nearly identical among the young; the dollars are not. Receipt incidence at ages 18–25 is 0.243 for white and 0.241 for Black heads, a difference of two tenths of a percentage point. Median amounts received at those ages are $1,150 against $454, and the ratio widens monotonically with age to roughly six to one by 46–59 (Figure 2). Work comparing participation rates alone will find very little here, and work comparing dollars will find a great deal. Both have been reported in this literature, and the reconciliation is that they measure different margins of the same flow. One caution on scope: this measure covers support from any relative, and studies restricted to parent-to-child transfers report white receipt higher on the participation margin as well.

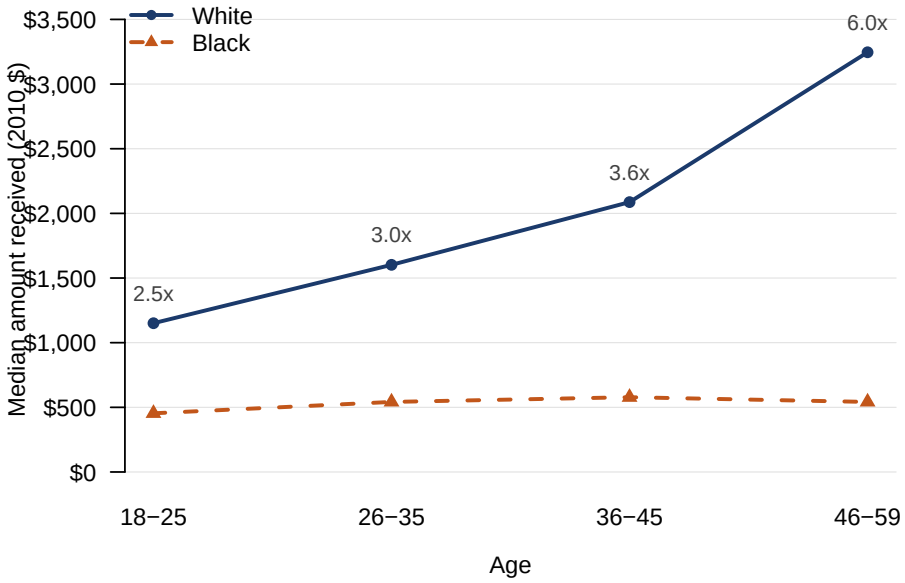


Figure 2: Median amount received among heads receiving support, by race and age, 2010 dollars. PSID, 1985–2023. Labels give the white-to-Black ratio.

	P(gives)		P(receives)		Median received	
Age	White	Black	White	Black	White	Black
18–25	0.036	**0.051**	0.243	0.241	$1,150	$454
26–35	0.035	**0.062**	0.106	0.141	$1,602	$542
36–45	0.054	**0.063**	0.058	0.066	$2,087	$578
46–59	**0.110**	0.061	0.037	0.046	$3,246	$542

3. Parental help with college is the largest racial gap in family dollars. Among four-year students in the supplement, 49.1 percent of white students received parental help against 19.5 percent of Black students, and the median amount among those helped was $28,859 against $10,128. A Black four-year student is about 40 percent as likely to receive parental support and receives about a third as much when they do. Combining the two margins, expected parental support is roughly $25,000 for a white four-year student against $3,000 for a Black one. In a probit and an amount regression controlling for parental income, assets, education, marital status and family background, the race coefficients remain large and significant (0.464, standard error 0.121, on receipt; 0.766, standard error 0.232, on the log amount). The gap is not accounted for by the observables.

4. The two channels are linked, and the link is measurable. On the linked sample ($n = 9{,}612$ person-years), a probit of recurring receipt on the usual controls plus an indicator for having received help with

college gives a coefficient on education help of +0.164 for white ($z = 2.7$) and +0.406 for Black ($z = 2.2$) heads. As average marginal effects, help with college raises the later probability of receiving support by 4.1 percentage points for white and 10.8 for Black heads. Help at 18 is not only tuition. It marks a household as one that receives, and the model lets that mark carry forward into the recurring support of the working years. Existing work finds this association between families rather than within them, which points to a persistent family type rather than to the first transfer causing the later ones.

4 Parental education transfers

The 2013 supplement records what parents paid toward an adult child's schooling since age 18. Both margins of that transfer fall steeply in parental resources and in parental education, and both are lower for Black students at every level of each.

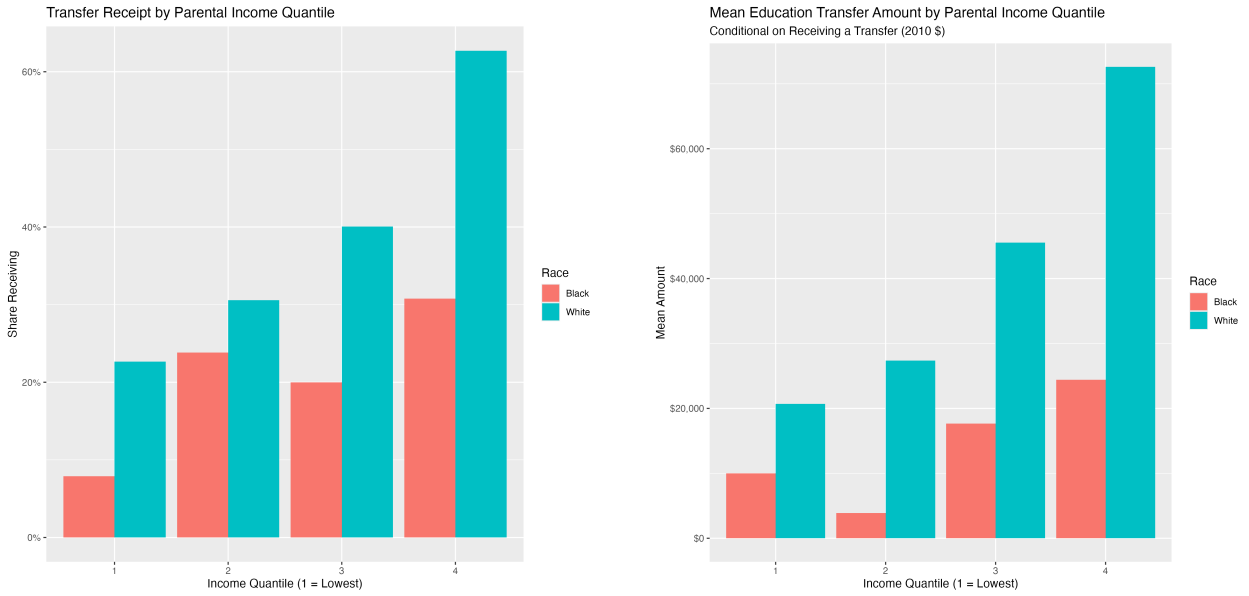


Figure 3: Share of students receiving parental help with college (left) and mean amount among those helped (right), by parental income quartile and race. RT13, 2010 dollars.

I estimate education transfer functions using the RT13, pooling Black and white observations and including a race indicator.[1] The probit model for the probability of receiving parental education support is

$$Z = \beta_0 + \beta_1 \log y + \beta_2 \log y_a + \beta_3 d + \beta_4 n + \beta_5 e + \beta_6 m + \beta_7 t + \beta_8 R + \beta_9 \text{era} \tag{1}$$

where d is degree type (2-year versus 4-year), R is a white race indicator, and era is the enrollment era. The OLS for log amount conditional on receiving uses the same regressors minus family unit size, marital status, and family type.[2] The race coefficient is large and significant in both columns, and the gaps are not fully explained by income, wealth, education, or family type, which suggests additional mechanisms including differences in wealth networks, cultural expectations, and access to credit.

[1] I pool Black and white observations because of the limited sample size.

[2] Family type is based on whether the household head grew up poor, average, or well off.

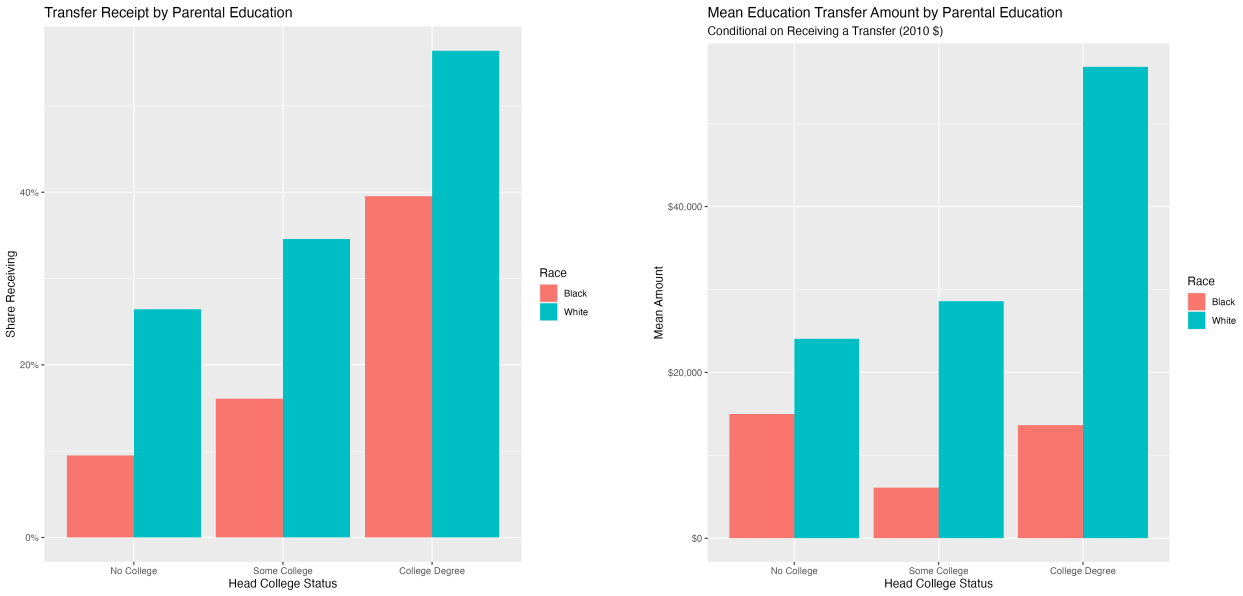


Figure 4: The same two margins by parental education and race. RT13, 2010 dollars.

	P(Transfer)	Log Amount
	(1)	(2)
Log Non-Asset Income	0.130***	0.267***
	(0.033)	(0.038)
Log Asset Income	0.030***	0.053***
	(0.007)	(0.010)
Degree Type: 4yr	0.489***	1.019***
	(0.054)	(0.087)
Family Unit Size	0.055***	
	(0.020)	
Parental Educ: Some College	0.250***	−0.055
	(0.064)	(0.105)
Parental Educ: College Degree	0.548***	0.511***
	(0.066)	(0.097)
Marital Status: Married	0.270**	
	(0.109)	
Family Type: Mid	0.216***	
	(0.062)	
Family Type: High	0.125*	
	(0.072)	
Race: White	0.464***	0.766***
	(0.121)	(0.232)
Constant	−3.177***	4.623***
	(0.348)	(0.487)
Observations	3,019	1,183
R^2		0.290
Log Likelihood	−1711.029	

Note: White & Black families, 2yr & 4yr degrees. 2010$. Enrollment era coefficients omitted.

Table 1: Education transfer regressions. Probit (col. 1) and OLS conditional on receiving (col. 2).

5 Intervivos transfer functions

Recurring transfers are estimated in two steps and separately by race. The first is a probit for whether a transfer occurs, on log non-asset income, log asset income, a quadratic in age, family size, education, marital status, family background, the two transfer-history indicators, birth cohort and survey year. In the second step, I estimate log transfer amount conditional on transferring using OLS with the same regressors minus the transfer history indicators. I then retransform the amount using Duan's smearing estimator, which matters here because the residuals are close to normal for Black transfers and right-skewed for white transfers, so the correction is larger for white amounts and preserves the racial gap in magnitudes.

Table 2: Intervivos Transfer Functions: Probit

	Provided transfer		Received transfer	
	White	Black	White	Black
Log non-asset income	0.058^{***} (0.009)	0.084^{***} (0.029)	-0.121^{***} (0.005)	-0.075^{***} (0.010)
Log asset income	0.020^{***} (0.003)	0.020^{*} (0.011)	-0.009^{***} (0.003)	0.000 (0.012)
Age	0.005 (0.005)	-0.057^{***} (0.017)	-0.103^{***} (0.005)	-0.099^{***} (0.014)
Age^2	-0.0002^{***} (0.00004)	0.0004^{**} (0.0002)	0.001^{***} (0.00005)	0.001^{***} (0.0002)
Family size	-0.097^{***} (0.010)	-0.087^{***} (0.027)	-0.028^{***} (0.008)	-0.043^{**} (0.019)
Some college	0.028 (0.024)	0.085 (0.076)	0.120^{***} (0.021)	0.106^{*} (0.060)
College degree	0.069^{***} (0.023)	0.391^{***} (0.091)	0.152^{***} (0.022)	0.076 (0.095)
Married	0.149^{***} (0.037)	0.206^{**} (0.091)	-0.044^{*} (0.025)	0.000 (0.068)
Background: mid	-0.092^{***} (0.022)	0.002 (0.078)	-0.045^{**} (0.023)	-0.004 (0.066)
Background: high	-0.031 (0.026)	0.030 (0.080)	0.050^{**} (0.024)	0.079 (0.063)
Received (past)	-0.143^{***} (0.023)	-0.416^{***} (0.080)	1.271^{***} (0.018)	1.365^{***} (0.058)
Provided (past)	1.936^{***} (0.024)	1.798^{***} (0.077)	-0.146^{***} (0.024)	-0.295^{***} (0.070)
Constant	-2.652^{***} (0.151)	-1.549^{***} (0.476)	2.025^{***} (0.112)	1.092^{***} (0.356)
Observations	74,240	6,460	74,225	6,462

Notes: Birth cohort and year FE not shown. Ref: no college, single, low background.
$^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$

6 What the estimated transfer functions say

I estimate the participation decision as a race-specific probit and the amount, conditional on transferring, as a race-specific log-linear regression, with controls for log non-asset income, log asset income, age and its square, family size, education, marital status, parental background, transfer history, birth cohort and survey year. Four features of the estimates are worth reporting on their own, independently of any model.

Family support is highly persistent, and the roles are mutually exclusive. Having given before is the strongest predictor of giving now, at 1.94 on the probit index for white and 1.80 for Black heads, and having received before is the strongest predictor of receiving, at 1.27 and 1.37. The cross terms are negative. Having received reduces the probability of giving, and having given reduces the probability of receiving. This sorting into givers and receivers is nearly three times stronger for Black households, where having received carries -0.42 against -0.14 for white households. Black families appear to allocate the role of provider more sharply than white families do.

A college degree raises the obligation to give for Black heads and the amount given for white heads. On the probability of giving, a degree carries 0.384 for Black heads against 0.069 for white heads, nearly six times as large. On the amount given conditional on giving, the ordering reverses: 0.456 for white heads

Table 3: Intervivos Transfer Functions: OLS (Conditional on Transferring)

	Provided transfer		Received transfer	
	White	Black	White	Black
Log non-asset income	0.146*** (0.017)	0.229*** (0.051)	−0.014 (0.009)	−0.001 (0.017)
Log asset income	0.065*** (0.005)	0.050*** (0.018)	0.073*** (0.006)	0.016 (0.024)
Age	0.073*** (0.008)	0.013 (0.022)	0.062*** (0.008)	0.040 (0.025)
Age^2	−0.0005*** (0.0001)	0.0001 (0.0002)	−0.001*** (0.0001)	−0.0004 (0.0003)
Family size	−0.053*** (0.018)	−0.057 (0.048)	−0.030* (0.017)	0.031 (0.033)
Some college	0.166*** (0.047)	0.211 (0.132)	0.279*** (0.043)	0.222** (0.105)
College degree	0.456*** (0.043)	0.175 (0.148)	0.719*** (0.046)	0.575*** (0.180)
Married	−0.084 (0.077)	−0.224 (0.156)	0.356*** (0.050)	0.302** (0.122)
Background: mid	0.079* (0.040)	0.042 (0.125)	0.142*** (0.048)	0.096 (0.123)
Background: high	0.227*** (0.049)	0.045 (0.129)	0.421*** (0.050)	0.232** (0.115)
Constant	3.517*** (0.221)	3.976*** (0.638)	5.545*** (0.165)	5.057*** (0.491)
Observations	5,133	426	6,054	723
R^2	0.242	0.215	0.162	0.047

Notes: Conditional on transferring. Year FE not shown. Ref: no college, single, low background, 1984–1993.
* $p < 0.1$; ** $p < 0.05$; *** $p < 0.01$

and 0.173, statistically indistinguishable from zero, for Black heads. A degree makes a Black head much more likely to be supporting someone and does not raise what they give when they do. For a white head it barely changes the probability and substantially raises the amount. This is the Black Tax as an estimated behavioral relationship, and it is consistent with the descriptive finding that among the college-educated, Black heads support parents at nearly eight times the white rate.

Education buys receipt, and more of it for white heads. A degree raises the probability of receiving by 0.152 for white heads and by an insignificant 0.076 for Black heads, and raises the amount received by 0.719 and 0.575. Coming from a high-resource background raises the amount received by 0.421 for white heads against 0.232 for Black heads. The same credential and the same family background deliver systematically more inbound support to a white household.

Wealth predicts receipt for white households and not for Black households. Log asset income raises the amount received by 0.073 for white heads, precisely estimated, and by 0.016 for Black heads, indistinguishable from zero. The amount equation for Black receipt has an R^2 of 0.047, against 0.162 for white receipt. How much a Black household receives is close to unpredictable from the covariates that work for white households, which is itself a finding about the structure of these networks and a limitation of what the estimated function can carry.

7 What the regressions can and cannot identify

These are conditional associations, not causal effects. Race is not a manipulable treatment, so the race coefficients should be read as the part of the gap that income, wealth, education and family background do not account for, which is the quantity a decomposition needs rather than an effect. Three further cautions belong with them.

The transfer-history indicators carry the largest coefficients in the receipt equation, and their size reflects persistence that is partly unobserved family heterogeneity rather than true state dependence. Existing work on help with college and later receipt finds the association entirely between families and

not within them, which points the same way.

The education transfers are measured retrospectively and are pooled across race by necessity, so the race indicator there rests on a single coefficient estimated on 3,019 observations.

The causal content of the project therefore comes from the model rather than from these regressions. The estimated functions are reduced forms used to discipline it, and the counterfactual experiments switch one source of racial difference at a time while holding the remaining structure fixed. That is what makes it possible to ask what a channel contributes, which no regression on these data can answer.

8 Where this goes

Many of these studies focus on transfers provided, ignoring transfers received and thus only capturing half of the story. In addition, without a life cycle model, we can't see the full implications of the differences in timing of these transfers.

I estimate race-specific transfer functions in which the probability and size of a transfer vary with age, income, wealth, family background, and education, then use them to discipline a life-cycle model of saving, college enrollment, and both transfer channels, linked so that help at enrollment seeds later receipt. Households live for 67 annual periods, from age 18 to age 84. The agent chooses to forgo college, enroll in a 2-year program, or enroll in a 4-year program based on their initial assets, own ability type, expected education transfer, expected earnings, and expected future intervivos transfers. With a structural model, I run several counterfactual experiments to isolate the impact of each source of racial heterogeneity, and I examine how the timing of transfers shapes college enrollment, debt at graduation, and earnings.

The counterfactual decomposition is still being calibrated, and I report its direction rather than its magnitudes. The contribution of family transfers to the racial wealth gap is concentrated in early adulthood, and most of a transfer is consumed rather than accumulated.

A draft of the full paper, including the model, its calibration and its limitations, is available on request.